**No. 18-0918**

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IN THE

# Supreme Court of the United States

OCTOBER TERM, 2018

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IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT.

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*On Writ of Certiorari from the United States Court of Appeals of the Thirteenth Circuit*

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**BRIEF FOR PETITIONER**

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**Team 57P,**
***Counsel for Petitioner***

**Oral Argument Requested**

## QUESTIONS PRESENTED

1. Under § 362(a)(3) of the Bankruptcy Code, does a creditor "exercise control" in violation of the automatic stay when the creditor passively retains possession of collateral that the creditor lawfully repossessed from the debtor prior to the petition date?

2. Under subsection § 503(b)(3)(D) within § 503(b) of the Bankruptcy Code, may a court award an administrative expense priority to a party in interest for a substantial contribution made in a case under chapter 7?

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## OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot ruled for Respondent on both issues. R. at 6, 8. First, the Bankruptcy Court held that Respondent had not violated the automatic stay as it found that mere retention of property lawfully repossessed prepetition is not an act to exercise control over property of the estate. Second, the Bankruptcy Court also granted Respondent's request for an administrative expense in the amount of $25,000 notwithstanding § 503(b)(3)(D). R. at 8. This decision was unreported.

The Thirteenth Circuit Bankruptcy Appellate Panel affirmed both issues. R. at 9. This decision was unreported.

## STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

## STATEMENT OF THE CASE

### I. Procedural History

The Debtor, Backstreets Plowing, Inc. ("Backstreets" or "Debtor") filed a chapter 11 petition on February 4, 2017. R. at 6. The Debtor then subsequently filed a motion with the bankruptcy court asking for the court to determine Milton Weinberg's, ("Weinberg"), continued retention of vehicles to which Debtor retained title was in violation of the automatic stay pursuant to section 362(a)(3). R. at 6. On a "close call," the bankruptcy court held that Weinberg had not violated the stay. R. at 6. The Debtor appealed the bankruptcy court's holding in March 2017. R. at 6.

The Debtor ultimately converted the chapter 11 case to a case under chapter 7 of the Bankruptcy Code whereby the Trustee was appointed on April 13, 2017 to administer the bankruptcy estate and commence the liquidation proceedings. R. at 7. Weinberg had previously obtained a default judgment in October 2016, against both Christopher Clemons, ("Clemons"), and Debtor, for which Clemons is the sole shareholder. R at 5.

Pursuant to this judgment, Weinberg began an investigation in May 2017 into Clemon's past financial dealings for which he would eventually would file a motion with the bankruptcy court to reimburse him for in return for providing the Trustee with his findings. R. at 7. The Trustee opposed Weinberg's motion on the grounds that section 503(b)(3)(D) precluded such a reimbursement as an administrative expense for a substantial contribution in a chapter 7. R. at 7. The bankruptcy court approved Weinberg's motion and the Trustee appealed. R. at 8.

The bankruptcy appellate panel affirmed the bankruptcy court on both issues. R. at 9. The Trustee then timely appealed both of these determinations to this court. R. at 9.

### II. Factual History

Debtor and Clemons entered into an agreement with Weinberg to receive $450,000 from Weinberg so that Debtor could buy new snow plow trucks. R. at 4. Pursuant to the promissory note, the Debtor agreed to make monthly payments to Weinberg once the business began generating revenue in December 2015. R. at 4. The Debtor granted Weinberg a security interest in the trucks to secure repayment of the loan, and personally guaranteed the loan. Shortly after receiving the loan, the Debtor purchased the new trucks in August 2015. R. at 4. In October 2016, Weinberg obtained a default judgement against Clemons and the Debtor. Weinberg did not immediately act to collect following the judgment. R. at 5.

In January 2017, Debtor fell on hard times and Weinberg hired E Street Auto Recovery, to recover the snow plow trucks. R. at 6. On February 4, 2017, the Debtor petitioned for chapter 11 bankruptcy. R. at 6. Shortly after the petition date, the Debtor's attorney sent a letter to Weinberg demanding he return the trucks immediately. R. at 6. Weinberg never returned the trucks. R. at 6. Debtor then filed a motion asking the bankruptcy court to find Weinberg violated the automatic stay under section 362(a)(3) by keeping the vehicles. R. at 6. Weinberg still refused to return the trucks. R. at 6.

Later that year, Tenth Avenue sent the trustee a letter offering to buy all the Debtor's assets, but the purchase was contingent on the Trustee immediately obtaining the trucks and conveying the titles. R. at 8. The trustee attempted to negotiate with Weinberg to return the truck. R. at 8. Negotiations failed, and Tenth Avenue withdrew their offer. R. at 8. Eventually, the Trustee would have to accept an offer that was $100,000 with a company that would accept the assets without the trucks. R. at 8-9. The Bankruptcy Court found that Weinberg in preventing the estate from recouping the trucks in time for the first sale had not violated the automatic stay. R. at 6.

After the appeal, the Badlands city council informed Clemons it would not renew the snow plowing contract the following year. R. at 7. The Debtor converted the chapter 11 case to a chapter 7 case under the Bankruptcy Code. R. At 7. The Trustee was appointed on April 13, 2017, to liquidate the Debtor's property and administer its estate. R. at 7. Weinberg decided to pursue collection of the judgment against Clemons for his own benefit and hired a law firm in May 2017. R. at 7. Weinberg eventually discovered evidence of fraudulent transfers and offered it to the trustee. R. at 7. After the Trustee agreed to his offer, Weinberg immediately motioned to the court to recoup his expenses in conducting the investigation. R. at 7.The Bankruptcy Court ignored the Trustee's plea that § 503(b)(3)(D) prevented Weinberg from receiving such an administrative expense. R. at 8.

## SUMMARY OF THE ARGUMENT

1. Respondent Weinberg's passive retention of the of the lawfully repossessed snow plow trucks, from Backstreet Plowing, after the filing of the Bankruptcy Petition was an act to exercise control over property of the estate. The Thirteenth Circuit incorrectly upheld the District Court of Moot's decision. First, it erroneously ruled, with the minority of courts that it joined, that passive retention of estate property did not constitute an act to exercise control over property of the estate. Second, it wrongly held that turnover of the snow plows was conditioned on the receipt of adequate protection and that the debtor, Backstreet Plowing, had the obligation of establishing adequate protection for the Respondent.

This Court, and the majority of Circuit Court's, rulings on this issue demonstrates that the Thirteenth Circuit's ruling was erroneous. When a creditor deprives the trustee or debtor of property of the estate, which the creditor had gained possession of pre-petition constitutes an act to exercise control over property of the estate. The broad reach of the bankruptcy estate can obtain possession of any property that the debtor has any title or legal interest in, regardless of whether the debtor actually has possession of that property.

Here, Weinberg lawfully repossessed the snowplow trucks prior to the filing of the petition for bankruptcy by the debtor. However, upon the filing of the bankruptcy, as Weinberg did not have legal title to the snow plow trucks, he should have realized that he was obligated to turnover the property consistent with § 542(a) of the Bankruptcy Code. Furthermore, when the Debtor's attorney's contacted Weinberg seeking return of the trucks, Weinberg should have realized that he was compelled to return the snow plow trucks as property of the estate. Thus,

Weinberg has no reason to not know that the Backstreet Snowplowing had filed Bankruptcy and needed the return of their property.

Furthermore, as Weinberg asserted that he believed that he did not have to turnover possession of the trucks until the debtor's demonstrated that they had adequately protected the trucks, however, Weinberg should have known that turnover is self-executing. *Metromedia Fiber Network Servs. v. Lexent, Inc.* (*In re Metromedia Fiber Network, Inc.*), 290 B.R. 487, 493 (Bankr. S.D.N.Y. 2003). With the turnover action being self-executing there is no requirement for the assurance of unsolicited adequate protection by the debtor or trustee. Rather, Weinberg had an affirmative duty to seek out adequate protection if he so chose. Weinberg, however, decided to retain possession of the collateral and did not motion or request from the Bankruptcy Court adequate protection. Therefore, Weinberg exercised control over property of the estate in violation of the automatic stay.

Finally, even if this Court were to decide that either § 362(a)(3) required an Affirmative Act in order for an action to constitute an "exercise of control" over property of the estate, or that § 542(a) is not self-executing, the debtor and trustee both made sufficient enough attempts to contact Weinberg, to obtain possession of the property of the estate, that Weinberg still violated the Automatic Stay.

2. The plain language of § 503(b)(3)(D) precludes an administrative expense award to a creditor for making a substantial contribution to case under chapter 7 of the Bankruptcy Code. Congress expressly included for chapters 9 and 11 within § 503(b)(3)(D) and excluded the rest, thereby inferring such an expense may not be awarded in the other chapters. Moreover, the

canons of statutory interpretation require that the the specific provision, § 503(b)(3)(D), govern over the more general provision, § 503(b), when the two statutes concern the same matter.

A recent minority of courts have erroneously held for an interpretation that would render the subsections within § 503(b), such as §503(b)(3)(D), as mere examples that have no real significance. This interpretation finds no support in the legislative history that may allow a court to infer a different meaning than that imposed the plain language of the statute.

Additionally, these minority courts have failed to account for two separate pieces of evidence that support Congress acted with intent when drafting § 503(b)(3)(D). First, administrative expenses generally must be construed strictly to preserve the equity of distributions for all creditors. Second, Congress embedded other specific provisions that give creditors certain rights, such as to recoup expenses for recovering fraudulently hidden property, of which would have their own meaning effectively reduced if § 503(b)(3)(D) is interpreted country to its plain meaning.

In sum, the arguments to interpret § 503(b)(3)(D) differently than its plain meaning entails are flawed. This Court should reaffirm the traditional majority interpretation out of respect for the will of Congress and separation of powers.

## I. CONTINUED PASSIVE RETENTION BY THE CREDITOR OF THE SNOW PLOW TRUCKS AFTER THE FILING OF THE BANKRUPTCY PETITION WAS AN ACT TO EXERCISE CONTROL AND VIOLATED THE AUTOMATIC STAY UNDER § 362(a)(3)

The Thirteenth Circuit erred when it held that the Creditor's passive retention of estate property was not a violation of the automatic stay under § 362(a)(3) – which stays any act that any entity takes to either obtain possession of property of the estate or exercise control over the property of the estate. *See* 11 U.S.C. § 362(a)(3). § 362(a)(3) is just one of the many actions that are stayed by § 362, which is the automatic stay provision. The automatic stay of the Bankruptcy Code comes into effect immediately after a debtor files a bankruptcy petition as section 362 "imposes automatically a stay upon most actions by creditors to satisfy their claims…." *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 774 (8th Cir. 1989). Upon a violation of the automatic stay, a creditor or other non-debtor party could be subject to damages, costs, attorneys' fees and punitive damages resulting from their breach of the automatic stay. 11 U.S.C. § 362(k).

The present case considers whether a debtor violates § 362(a)(3) of the automatic stay, when the debtor refuses § 542(a) turnover on the basis that adequate protection. as established by § 363(e), be provided first. Historically, when courts have addressed this question, the majority of Circuit Courts hold that the passive retention of collateral that was seized pre-petition is a

violation of the automatic stay. *See, e.g., United States v. Whiting Pools*, 462 U.S. 198, 212 (1983); *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2d. Cir. 2013); *Thompson v. GMAC, LLC*, 566 F.3d 699, 708 (7th Cir. 2009); *Knaus v. Concordia Lumber Co. (In re Knaus)*, 889 F.2d 773, 774 (8th Cir. 1989); California Empl. Dev. Dep't v. Taxel (In re Del Mission), 98 F.3d 1147, 1152 (9th Cir. 1996). The minority however, is limited to just two Circuit Court's ruling in their favor. Under this section, an act that exercises control over estate property under § 362(a)(3), and therefore, Weinberg's retention of Backstreet Plowing's snow plow trucks violates the automatic stay.

**A. Property of the Estate Is Protected by The Automatic Stay under § 362(a)(3).**

The guiding understanding of property of the estate in this section is established by § 541 of the Bankruptcy Code, which maintains that property of the estate is all property available to the debtor including "all legal and equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1). When Congress established the concept of property of the estate they expected the reach of the estate to be broad maintaining that "the scope of this paragraph is broad… § 541(a)(1) is intended to include in the estate any property made available to the estate by other provisions of the Bankruptcy Code." H.R. Rep. No. 95-989, p. 367 (1977); S. Rep. No. 95-989, p. 82 (1978).

Under this broad net of estate property, the debtor and trustee are able to extend their reach out to collect all of the assets that the estate could deem useful in reorganization. The intention behind having such a broad scope for the property of the estate was that Congress presumed that reorganizations, which it had permitted under Chapter 11 would be more useful in a rehabilitated business rather than sold for scrap in liquidation. H.R. Rep. No. 95-595, p. 220 (1977).

Furthermore, these broad powers even extend to creditors that have a secured interest. *Whiting Pools*, 462 U.S. at 203. Where a debtor retains legal title to property that was repossessed pre-petition, the debtor still has a legal interest in the property, and that property is includable in the estate under section 541(a)(1). *Rutherford v. Auto Cash, Inc. (In re Rutherford)*, 329 B.R. 886, 890 (Bankr. N.D. Ga. 2005).

In the instant case, Backstreet Plowing retained title to the snow plow trucks. (R. at 6 n.4). Furthermore, it is undisputed in the record that the retention of title in the snow plow trucks maintains the Debtor's legal interest in the trucks and are therefore property of the estate. (R. at 10). Because the snow plow trucks were property of the estate, the automatic stay applies to them.

### B. The Plain Meaning of "Any Act to Exercise Control" in Section 362(a)(3) includes passive actions.

In order to discern congressional intent in the drafting a specific statute, the starting point is the existing statutory text. *Lamie v. United States Trustee*, 540 U.S. 526, 534 (2004). Additionally, when a court is utilizing the canons of construction to assist with its interpretation of a statute, the court should presume that "a legislature says in a statute what it means and means in a statute what it says there." *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253–54 (1992). Furthermore, the words that Congress uses in its statutes should be perceived by the courts, to carry "their ordinary, contemporary, common meaning." *Pioneer Inv. Servs. v. Brunswick Assocs. Ltd. P'ship*, 507 U.S. 380, 388 (1993).

Section 362(a)(3) of the Code prohibits "any act … to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). A plain reading of this section of the Code establishes that passive

retention of property is an act that "exercises control over property of the estate." The most plausible interpretations of the phrase, "to exercise control" as related to § 362(a)(3) indicates that Congress intended that control that restricts a debtor's access to property constitutes a violation of the automatic stay. First, the common and contemporary understanding of the phrase "exercise control" is "the ability to keep others from access to or use of the object." *Unified People's Fed. Credit Union v. Yates (In re Yates)*, 332 B.R. 1, 4 (B.A.P. 10th Cir. 2005) (citation omitted). Additionally, the plain meaning of "exercise control" is also consistent with this interpretation. Under the plain meaning interpretation, a leading dictionary definition provides that control is defined as, "to exercise restraining or directing influence over or to have power over." *Thompson*, 566 F.3d at 702 (quotations omitted). Finally, when Congress amended § 362(a)(3) to add a prohibition against conduct to "exercise control over property of the estate," it did so with the intention of broadening the scope of the automatic stay far beyond the mere prohibition of actions to obtain possession of estate property. *In Re Abrams*, 127 B.R. 239, 241 (B.A.P. 9th Cir. 1991).

Lastly, the legislative history, although sparse, favors the broad interpretation of § 362(a)(3) in furtherance of the Automatic Stay in general. In the legislative history, Congress maintained that, "[t]he automatic stay is one of the fundamental debtor protections… it the debtor a breathing spell… to attempt a repayment or reorganization… the automatic stay also provides creditor protection… Bankruptcy is designed to provide an orderly liquidation procedure under which all creditors are treated equal." H. R. Rep. No. 595, 95th Cong., 1st Sess. 340 (1977), *reprinted in* 1978 U.S.C.C.A.N. 5963, 6296-97.

A narrow reading of § 362(a)(3)'s "exercise control" provision that seeks to withhold property repossessed by the creditor pre-petition from the grasp of the automatic stay would

ultimately just read the phrase out of the statute. *See* R. 22 (Dissent below arguing that court majority misinterpreted § 362(a)(3).) Under this reading, any concept of a creditor "exercising control" would be wiped from the statute; leaving the creditor's "act" as the only thing remaining to face the automatic stay. An understanding of the automatic stay statute like this would, "prohibit only the affirmative conduct directed at 'control' rather than 'possession' of estate property." *In re Hall*, 520 B.R. 650, 665 (Bankr. D.D.C. 2014) (citation omitted). This runs contrary to this Court's cardinal rule that courts must, "give 'give effect, if possible, to every clause and word of a statute.'" *Williams v. Taylor*, 529, U.S. 362, 404 (2000). Furthermore, under the narrow reading of "exercise control," the only activities that a creditor could be doing that constituted "exercising control" would be the illogical result of "selling or otherwise destroying the asset." *Thompson*, 566 F.3d at 702.

### C. Failure to Turnover under § 542(a) is an Exercise of Control in Violation of the Automatic Stay.

When a creditor is in possession of property of the estate, that creditor is required to turnover the property to the Trustee at the commencement of the bankruptcy proceedings. Section 542(a), which is the turnover provision provided in the Bankruptcy Code requires that a "an entity in possession, custody or control, during the case of property that the trustee may use, sell or lease under section 363 of this title… shall deliver to the trustee… such property or the value of such property, unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a).

This provision ultimately establishes that the Creditor has the responsibility to complete the turnover. the automatic stay, which, as established by section 362 of the Bankruptcy Code, is

an essential protection of bankruptcy that serves to benefit both creditors and debtors by providing the debtor with "a breathing spell from its creditors" and protecting creditors "from the possibility that one creditor will obtain payment… to the detriment of all others." *Expeditors Int'l v. Colortran Inc. (In re Colortran, Inc.)*, 210 B.R. 823, 826 (B.A.P 9th Cir. 1997) (citation omitted). The automatic stay goes into effect automatically upon the filing of a bankruptcy petition and stays "most actions by creditors to satisfy their claims against the debtor." When a creditor decides that he does not want to turnover the property, that creditor is ultimately asserting his rights ahead of the rights of all other creditors. There is no "exception" to § 362(a)(3), and therefore, the mandatory requirement to turnover property consistent with § 542(a) ultimately gives the creditor two options, either he can seek relief from the court, or he can turnover the property to the estate. *In re Berscheit*, 223 B.R. 579, 581 (Bankr. D. Wyo. 1998).

### *1. § 542(a) Establishes an Affirmative Duty for the Creditor to Turnover Property of the Estate and is Self-Effectuating.*

Section 542(a) is clear and unambiguous; any party that is in possession of the estate property "shall" deliver that property to the trustee. *Metromedia Fiber Network Servs. v. Lexent, Inc. (In re Metromedia Fiber Network, Inc.)*, 290 B.R. 487, 489 (Bankr. S.D.N.Y. 2003); accord *Thompson*, 566 F.3d at 704 (holding that "shall deliver" makes § 542(a) compulsory). Additionally, this obligation to turnover the property, "is not contingent upon any predicate violation of the stay, any order of the bankruptcy court, or any demand by the creditor." *Knaus*, 889 F.2d at 775 (citing *Borock v. Bildofsky (In re Bildofsky)*, 57 Bankr. 883 (Bankr. E.D. Mich. 1985).) Furthermore, the duty to turnover arises upon the filing of the petition. *Id*. Since turnover under § 542(a) mandates that a party in possession of property of the estate must return that property to the estate, and that the mandated return does not require any further action from the

Debtor or Trustee, § 542(a) functions as a self-effectuating provision. *Weber v. SEFCU (In re Weber)*, 719 F.3d 72, 79 (2d. Cir. 2013); *In re Metromedia Fiber Network, Inc*., 290 B.R. at 493 (Trustee in a turnover dispute case argues that "§ 542(a) is 'self executing' in the sense that it is a simple statutory command requiring that property be delivered to the debtor without the necessity of a court order.")

Additionally, the reach of turnover is not confined strictly to unsecured claims, as the debtor's property that was repossessed by a secured creditor is subject to this rule and can also be drawn into the estate. *United States v. Whiting Pools*, 462 U.S. 198, 206 (1983). Furthermore, the reach of turnover expands far beyond the property immediately available to the debtor, as the debtor is not required to hold a possessory interest in the property at the commencement of the action. *Id*.

In the instant case, Weinberg did not fulfill his affirmative duty to turnover the property of the estate. In January 2017, Weinberg, through the repossession company E Street Auto Recovery, repossessed the snow plow trucks in accordance with applicable non-bankruptcy laws prior to the filing of the bankruptcy petition by the debtor Backstreet Plowing. *See* R. 6 n.4. Consistent with this, the debtor Backstreet plowing, through its attorneys attempted to retrieve the trucks from Weinberg. However, Weinberg refused to return this property. With this being the case, Weinberg exercised control over property of the estate.

*2. **Adequate Protection under § 363(e) is not a Condition Precedent to Turnover***

Adequate Protection is an elective procedure that the non-debtor has the obligation of bringing before the court if they desire it. An analysis of the plain language of § 363(e) can lead

to no other determination than that the non-debtor who desires adequate protection is required to affirmatively act to seek out the adequate protection.

Under § 363(e) adequate protection can be obtained by the non-debtor, at any time throughout the case, *on request of* the entity that has an interest in the property. These two passages indicate that there must be some affirmative action that is required by the non-debtor in order to secure adequate protection of the property. First, the notion of "at any time" indicates that this is not something that automatically is initiated by some act or occurrence, such as the request for turnover by the debtor, but rather indicates that this is an elective remedy that can be utilized by the non-debtor party to address the dispute. *See In re Alpa Corp*., 11 B.R. 281, 290 n. 6 (Bankr. D. Utah 1981). Additionally, because adequate protection is required to be provided to the non-debtor party "on request, "adequate protection must be an elective procedure that the non-debtor party has the burden of requesting. *Thompson*, 566 F.3d at 703.

Moreover, the necessity of "requesting" adequate protection establishes that the non-debtor is obligated to take an affirmative action to protect its interest in the property by requesting that protection through the courts. *In re Sharon*, 200 B.R. 181, 189 (Bankr. S.D. Ohio 1996). Furthermore, the Code does not allocate any responsibility to the debtor to initiate any of the proceedings under the adequate protection sections for the debtor. *Transouth Fin. Corp. v. Sharon (In re Sharon),* 234 B.R. 676, 684 (B.A.P. 6th Cir. 1999). As the adequate protection action is a tool that the non-debtor party must use to protect its own interests, the Code is best understood as requiring the non-debtor party to ask for the protection in order to receive the protection. *In re Kain*, 86 B.R. 506, 512 (Bankr. W.D. Mich. 1988). In *in re Kain*, a case where a Chapter 11 secured creditor did not request adequate protection during the pendency of the case, and ultimately was barred from receiving any adequate protection for its interests. *Id*. The court

in Kain case summed up the creditor's bar from adequate protection by stating, "if you don't ask for it you can't get it." *Id*. Thus, the only way that the creditor can get adequate protection for its secured interest is by "requesting" the protection from the Court. If the creditor fails to request the adequate protection, then under *Kain*, the court has no obligation to provide the creditor with adequate protection.

Finally, the surplus of remedies that are available to a creditor to resolve and address adequate protection further suggests that the burden falls on the creditor to seek out adequate protection for its property. One of this remedies that is available to creditors falls under § 363(e), where the statute allows for the creditor to request adequate protection "at any time" and establishing that the court has the option to issue its decision "with or without a hearing." 11 U.S.C. 363(e). Additionally, under the Rule 4001(a) of the Rules of Bankruptcy Procedure, a creditor may move for relief from the automatic stay or "may prohibit or condition the use, sale, or lease of propertu pursuant to § 363(e)." Fed. R. Bankr. P. 4001(a). Finally, if the creditor is concerned that its property will not be adequately protected while in the hands of the estate, the creditor can utilize § 362(f) of the Code to protect itself. *In re Sharon*, 234 B.R. at 685. Here, the Code provides that, "[u]pon request of a party in interest, the court with or without a hearing, shall grant such relief from the stay provided under subsection (a) of this section as is necessary to prevent irreparable damage to the interest of an entity in property." 11 U.S.C. § 362(f).

Additionally, while some courts and scholars interpret adequate protection to function as a self-effectuating protection for the creditor that is a condition precedent to turnover, the Code does not allow such an alternative interpretation; ultimately, what the code does provide for is that adequate protection must be invoked by the creditor for it to be applicable. *Nissan Motor Acceptance Corp. v. Baker*, 239 B.R. 484, 489 (N.D. Tex. 1999). If the statute were to provide

that a non-debtor party could assert whether adequate protection was sufficient or necessary in any instance, then the non-debtor party would be effectively stepping in for the court, and could prove to be a danger to the a bankruptcy proceeding. *See Expeditors Int'l v. Colortran, Inc. (In re Colortran, Inc.)*, 210 B.R. 823, 828 (B.A.P. 9th Cir. 1997).

As these sections demonstrate, the creditor has a variety of different options available to it, which can provide a fair, equitable and quick relief for the creditor if it is not happy with the provisions of the automatic stay. Thus, the practicality abounds for the Court to reverse the 13th Circuit's order and find that Adequate Protection is not a condition precedent to turnover, and that Adequate Protection is not self-executing.

### *3. Even When Non-Bankruptcy Law Challenges a Creditor, the Creditor Must Turnover Property of the Estate or Risk Violating.*

Creditors faced with competing interests of Bankruptcy and Non-Bankruptcy Law still violate the Automatic Stay when they refuse to turnover property of the estate because of the law outside of Bankruptcy. In these instances, usually the creditor makes a unilateral assertion that the property is protected by the perfection, and thus turnover is not required. *See In re Colortran* 210 B.R. at 827. The creditor is trying to justify its actions by attempting to return to the status quo as defined by nonbankruptcy law. *In re Sharon*, 234 B.R. at 683. Even though the creditor may feel justified in retaining the property with the hopes of achieving this status quo, the creditor is actually still violating the automatic stay. *Id*.

Ultimately, the reason for this, is that creditor's adequate protection right is still subordinate to the statutory obligation for turnover. *Id*. The creditors in these instances cannot withhold the seized property but must instead "seek protection of its interest" including its

statutory right to adequate protection via the Congressionally established Bankruptcy Procedures. *Whiting Pools*, 462 U.S. at 211–12. Ultimately, the power of the automatic stay prevails, and all of the provisions that fall on its side, ultimately are the provisions that are going to be empowered by the Court.

**4. *Even if the Court Finds That § 362(a)(3) Requires An Affirmative Act to Exercise Control, Weinberg Still Would Have Violated the Automatic Stay.***

Even if this Court were to find that § 362(a)(3) requires that the Creditor to complete an affirmative action to constitute exercising control over the property of the estate, Weinberg would have still violated the Automatic Stay. If the Court were to hold that under § 362(a)(3), the creditor was required to take an affirmative action against the debtor, then Weinberg still would have violated the automatic stay because he took an affirmative action which exercise control over the property of the estate.

After Weinberg repossessed the property, he took an affirmative action by ultimately refusing the Debtor's request to return the property of the estate. *See* R.6. In his process to decide that he was going to refuse to answer the debtor's request, Weinberg conducted a number of different actions. First, Weinberg affirmatively acted to ultimately assert that he was not subject to the automatic stay. *See* R.6. Secondly, Weinberg affirmatively acted when he deduced that he did not have to turn over the property. *See* R.6. Thirdly, Weinberg affirmatively acted when he refused the debtor's request and decided to not turn over the estate's property. *See* R.6.

Weinberg exercised control over the property, by taking these affirmative acts to ultimately exercised control over the property of the estate, and thus violated the automatic stay.

**5.** ***Even if the Court Were to Hold That § 542(a) is not a Self-Executing Provision, the Debtor Still Tried to Effectuate this, which the Creditor Did Not Respond To.***

Even if this Court were to hold that § 542(a) is not a Self-Executing Action the debtor did follow the appropriate procedures to resolves this issue, and thus, a violation of the stay would still be found. The functionality of § 542 is similar to that of other sections of the Bankruptcy Code, such as § § 543, 547 & 548. *Whiting Pools*, 462 U.S. 198, 205 n.10. Ultimately, these sections permit the trustee to demand the turnover of property that is in the possession of others. *Id.*

In the instant case Backstreet Plowing attempted to get the property back from the Weinberg. Backstreet reached out to Weinberg through its attorneys and sought to obtain the trucks back from Weinberg. *See* R. 6. In this instance, Weinberg refused. *See* R. 6. Ultimately, this refusal amounted to an action contrary to the demands of the Trustee. (In this instance, Backstreet was operating as a Debtor in Possession, which is equivalent to a trustee under § 1108.) Weinberg's refusals therefore were the equivalent of refusing to turnover property that was obtained through fraudulent transfers or a preference payment under § § 547 & 548. This refusal therefore, amounted to a violation of an exercise of control by Weinberg, and therefore, amounted to a violation of the automatic stay.

**II. COURTS ARE RESTRICTED FROM GRANTING AN ADMINISTRATIVE EXPENSE PRIORITY FOR A SUBSTANTIAL CONTRIBUTION MADE IN A CASE UNDER CHAPTER 7 OF THE BANKRUPTCY CODE.**

The Thirteenth Circuit made a clear error when it awarded an administrative expense priority to a creditor for making a substantial contribution in a case under chapter 7 of the bankruptcy code. R. at 21. Section § 503(b) of the bankruptcy code establishes a list of allowed administrative expenses. *See* 11 U.S.C. § 503(b)(1)-(9). Section § 503(b)(3)(D) then specifically addresses administrative expenses for substantial contributions made by certain parties of interests. *See* 11 U.S.C. § 503(b)(3)(D).

The majority of courts have held that § 503(b)(3)(D) is a ***specific*** provision that overrides the more ***general*** flexibility initially given by § 503(b), thereby constraining the power of courts to award an administrative expense priority to only cases under chapter 9 or 11 of the bankruptcy code for interested parties that have made a substantial contribution. *See, e.g., In re Hackney,* 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006); *See also Lebron v. Mechem*., 27 F.3d 937, 945 (3rd Cir. 1994); *See also In re Enloe*, No. 14-36358 CHAPTER 7, 2016 Bankr. LEXIS 3237, at *9 (Bankr. S.D. Tex. Sep. 1, 2016).

A recent interpretation by the Sixth Circuit, which has since been adopted by a minority of courts, commits a palpable flaw in extrapolating from the non-exhaustive nature of the ***general*** provision § 503(b) an unlimited power for courts to award any administrative expense priority they deem as appropriate. *See, e.g., Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F. 3d 810, 819 (6th Cir. 2015); *In re Masoudi*, 566 B.R. 40, 45 (Bankr. C.D. Cal. 2017). This interpretation must be corrected as it ignores the express will of Congress by holding subsequent provisions of § 503(b) meaningless and reducing them to mere examples included for the purpose of providing a "contextual framework." *Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F. 3d at 816.

Here, Weinberg, a creditor, claimed an administrative expense priority for a substantial contribution he made in a chapter 7 proceeding. R. at 7. The Trustee opposed the claim on the grounds that administrative expenses are not allowed for substantial contributions made in a chapter 7. R. at 8. The Thirteenth Circuit held that pursuant to rights § 503(b), courts may award as they see fit an administrative expense for substantial contributions made in a case under chapter 7. R. at 21.

This Court should reaffirm the majority interpretation and reverse the holding of the Thirteenth Circuit because: (A) the plain meaning of the text within § 503(b)(3)(D) explicitly excludes the possibility of an administrative expense priority being awarded to a party for making a substantial contribution in a case under chapter 7 of the bankruptcy code and (B) pursuant to canons of statutory construction, § 503(b)(3)(D) is a specific restriction within the framework of § 503 that supplants the more general provision § 503(b); moreover, (C) Congress' exclusion of chapter 7 from § 503(b)(3)(D) was made in accordance with the notion that administrative expenses should be constrained to preserve the equality of distribution for all creditors; and (D) Congress instead elected to give creditors other protections in chapter 7in order to maintain a proper balance.

**A. § 503(b)(3)(D) by its Plain Meaning Renders Administrative Expense Allowances for Substantial Contributions Inapplicable to Cases Under Chapter 7.**

§ 503(b)(3)(D) of the bankruptcy code can be clearly understood by its plain meaning when it states certain parties, such as creditors, are entitled to an administrative expense for "making a substantial contribution in a case under chapter 9 or 11 . . . ." This Court has provided that "when the statute's language is plain, the sole functions of courts - at least where the

disposition required by the text is not absurd- is to enforce it according to its terms." *Lamie v. U.S. Trustee*, 540 U.S. 526, 534 (2004).

Judicial inquiry should be concluded here as Congress is entitled to the presumption that it "says in a statute what it means and means in a statute what it says there." *Hartford Underwriters Ins. co. v. Union Planters Bank, N.A.,* 530 U.S. 1, 6 (2000). Congress knew how to make substantial contributions in chapter 7 eligible for an administrative expense as it had "in section 503(b)(3)(D) for Chapter 9 and 11 cases. It could have done the same in Chapter 7 cases. It did not." *In re Hackney,* 351 B.R. at 201. Moreover, administrative expenses for substantial contributions must be constricted to chapters 9 and 11 or their inclusion in the language of §503(b)(3)(D) would be rendered meaningless. *See Cf. TRW Inc. v. Andrews,* 534 U.S. 19, 31 (2001) (statues must be construed as to not render any word or sentence insignificant or superfluous.).

In light of the plain meaning of § 503(b)(3)(D), courts "would be unreasonable to apply a section 503(b)(3)(D) analysis to Chapter 7 and create an administrative expense category in chapter 7 cases based on 'substantial contribution.'" *In re Hackney,* 351 B.R. 179 at 201. Accordingly, this Court should reverse the Thirteenth Circuit's holding and reaffirm the clear intent of Congress by holding for the majority interpretation.

**B. Per the Canons of Statuary Construction, § 503(b)(3)(D) Imposes a Restriction on when an Administrative Expense Priority can be Awarded for Substantial Contributions.**

***1. § 503(3) governs the specific examples within its sub-sections and overrides § 503(b).***

Arguably, the inclusion of the term "including" in the beginning of § 503(b) infers an intent for the administrative expenses in Section 503(b) to be a non-exhaustive list. S*ee* 11

U.S.C. § 102(3) (defining "including" as "not limiting.") *See also Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F. 3d at 816. However, this has no effect on the specific provisions included within § 503(b) that serve to limit this general notion. *See In re Enloe*, No. 14-36358 CHAPTER 7, 2016 Bankr. LEXIS 3237, at *8 ("In the context of § 503(b)(3)(D), the general authorization provided by the expansive term 'including' is limited by the specific authorization of the phrase 'in a case under chapter 9 or 11 of this title.'").

As, in contrast with other sections provided for in § 503, § 503(b)(3) ***does not affix*** the term ***"including"*** as applying to ***its subsections*** that follow or any other language that would indicate for said sub-sections to be intended as a non-exhaustive examples. *See* 11 U.S.C. § 503(b)(3)(A)-(F); *compare* 11 U.S.C. § 503(b)(1)(A) (***affixing*** term ***"including"*** to apply to its provisions); *See also Russello v. United States*, 464 U.S. 16, 23 (1983) ("Where Congress includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress acts intentionally and purposely in disparate inclusion or exclusion.").

The omission of "including" in § 503(3) thus infers for its specific examples, *in contrast with those within § 503(b)(1)(A)*, to serve as a limit to what may otherwise apply from a general non-exhaustive rule. *See Mosier v. Kupetz (In re United Educ & Software),* No, CC-05-1067-MaMeP, 2005 Bankr. LEXIS 3408, at *18-19 (B.A.P. 9th Cir. Oct. 7, 2005) ("When a statute sets forth a series of items included under a general rule, and does not use the term 'including, the canon of *expression unius est exclusio alterius* applies, under which a court infers an intention to restrict the statute's application to the specific listed examples.").

***2. § 503(b)(3)(D) imposes an express restriction as a counter-balance to § 503(b).***

§ 503(b)(3)(D) then imposes an express restriction as one of the subsections within §503(b)(3), wherein it limits the availability of awarding an administrative expense priority for the specific scenario in which a creditor or another party in interest pursues an administrative expense priority for making a substantial contribution to cases under chapters 9 and 11. *See In re Hackney,* 351 B.R. at 201 (Bankr. N.D. Ala. 2006). This is a *specific* statute that overrides any expansion of the limits that are set forth within it for which may be attempted by invoking the *general* provision § 503(b). S*ee In re Enloe*, No. 14-36358 CHAPTER 7, 2016 Bankr. LEXIS 3237, at *9 ("when a statute provides specificity, the specific should govern the general). *See also In re Elder*, 321 B.R. 820, 829 (Bankr. E.D. Va. 2005) ("when a subsection directly addresses the administrative expense sought, the restrictions in it cannot be avoided by appealing to the non-exclusive nature of § 503(b).").

***3. Legislative history reaffirms § 503(b)(3)(D) is intended as a restriction rather than a mere example.***

Recently, the Sixth Circuit held for a clearly erroneous interpretation of § 503(b)(3)(D) that has since been adopted by a minority of courts. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC)*, 802 F. 3d at 816-19. The *Connolly* court reasoned simply by the non-exhaustive nature of § 503(b), courts may fashion any administrative expense they deemed necessary "on a case-by-case basis depending on the specific facts of the case." *Id*. at 816. The *Connolly* majority thus came to the conclusion that the subsections of § 503(b) were intended to act as mere examples in order to "provide a contextual framework." *Id*. Specifically in regard to § 503(b)(3)(D), *Connolly* further found that Congress merely overlooked that a creditor would make a substantial contribution in a chapter 7 as "in all but the most atypical Chapter 7 case . . . the U.S. trustee fulfills this role." *Id*. at 817. Thus, the *Connolly* majority awarded an unsecured

creditor an administrative expense priority for their substantial contribution in paying attorney expenses to commence adverse proceedings in order to remove the predecessor trustee for the benefit of the estate. *Id. a*t 813-14.

*Connolly*, however, fails to cite any legislative history in support of its interpretation and thus errs in not giving full respect to the effect to the express language of § 503(b)(D)(3). *See Consumer Prod. Safety Comm'n v. GTE Sylvania, Inc*., 447 U.S. 102, 108 (1980) ("Absent a clearly expressed legislative intention to the contrary, that language must ordinarily be regarded as conclusive."). Furthermore, the burden of proof falls to the party claiming entitlement to the administrative expense. *In re Mid-Region Petroleum*, 1 F.3d 1130, 1132 (10th Cir. 1993) (citation omitted).

The small amount of legislative history in fact infers § 503(b)(3)(D) was intended to have a limited scope. *See In re Connolly N. Am*., 802 F.3d at 822-23 n.2 (O'malley, J., dissenting) (discussing that multiple drafts of the bankruptcy act, including its earliest consistently limited administrative expenses for substantial contributions to chapters 9 and 11 despite other language changes). And, despite the small amount of legislative history, there is yet reaffirmation that § 503(b)(3)(D) was meant only to be used in the context of reorganization. *See Lebron v. Mechem Fin*., 27 F.3d 937, 944 (3d Cir. 1994) (citing Sen. Rep. No. 95-989, 95th Cong., 2nd Sess. Reprinted in 1978 U.S.C.C.A.N. 5787, 5852-3 that § 503 (b)(3)(D) was intended to extend substantial contributions from solely a pre-petition context to a post-petition context in order to help uncover facts that would lead to denial of a plan).

In summation, there is good reason why 86% of courts disagreed with the *Connolly* court at the time it was decided. *In re Health Trio, Inc*., 584 B.R. 342, 353 (Bankr. D. Colo. 2018). In addition to the lack of legislative history, the Connolly majority's interpretation would have the

effect of constructing § 503(b) in a manner which would read § 503(b)(3)(D) out of the bankruptcy code in violation of an essential canon of statutory interpretation. *See In re Connolly N. Am.*, 802 F.3d at 822-23 n.2 (O'malley, J., dissenting) (citing *Freytag v. Comm'r*, 501 U.S. 868, 877 (1991) (the deep reluctance to interpret one provision of a statute as to render superfluous another provision.)

*Connolly* attempts to clock its belief that principles of equity favor tipping the balance for the creditor within a far-fetched statutory interpretation that finds runs contrary to statutory construction and finds no support in the legislative history. *See In Re Connolly N. Am., LLC*, 802 F.3d at 814-15. Only Congress can set policy- this Court should reaffirm the traditional interpretation of § 503(b)(3)(D) in accordance with the plain meaning of the language provided for in the law passed by Congress absent any evidence of legislative history that proposes a contrary interpretation.

**C. Administrative Expenses are to Generally be Construed in order to Balance the Equities in Distribution for all Creditors.**

The default rule is that administrative expenses should be minimized in order to ensure the equity of all creditors receiving maximum distribution. *See generally* 4 COLLIER ON BANKRUPTCY ¶ 503.06 (16th ed. 2017); *See also In re Cmty. Home Fin. Servs.*, No. 12-01703-NPO, 2017 Bankr. LEXIS 1192, at *15 (Bankr. S.D. Miss. May 1, 2017) ("Because fees awarded under this section are paid directly from the estate and reduce the funds available to other creditors, courts traditionally strictly construe § 503(b)."). The *Connolly* court solely focus on the equities in reimbursing one creditor for expenses and blatantly ignores how this could effect the equity in distribution to all other creditors. *In re Connolly N. Am.*, 802 F.3d at 824-25 n.2

(O'malley, J., dissenting) (discussing how the *Connolly* majority fails to account for the balance of equities cutting both ways).

Courts have typically considered this inherent tension between minimizing administrative expenses and increasing creditor's participation in the context of reorganization for determining whether to awarding a substantial contribution priority. *See In re Geriatrics Nurishin Home*, 195 B.R. 34, 37 (Bankr. D.N.J. 1996) ("Although the section [§ 503(b)(3)(D)] is designed to encourage meaningful creditor participation in the reorganization process, it also embodies the need to minimize administration expenses in order to maximize the estate for creditors.").

In a chapter 7 liquidation, elevating an unsecured creditor to an administrative expense further serves to increase this tension as it not only decreases the value of a *set pool of assets* but also the likelihood that the lower priority unsecured creditors will be paid at all- "***priority is an absolute command***— lower priority creditors cannot receive anything until higher priority creditors have been paid in full." *Czyzewski v. Jevic Holding Corp*., 137 S. Ct. 973, 983 (2017). This runs in opposition to a Chapter 11, of which provides "somewhat more flexibility." *Id*. Additionally, post-petition granted administrative expenses impose an even higher burden of proof for the mover as they are "specially favored post-petition claims, given priority over most other claims against the bankruptcy estate." *In re Mid-Region Petroleum*, 1 F.3d 1130, 1132 (10th Cir. 1993).

*Connolly* failed to address any of these considerations as they would cut against the argument that Congress "merely overlooked" the possibility of a substantial contribution in a chapter 7 but rather made the affirmative decision to exclude such an award. *See Mediofactoring v. McDermott (In re Connolly N. Am., LLC),* 802 F. 3d at 816-19. Once more, this Court should reverse the Thirteenth Circuit in light of the failure of minority courts properly conducting a

holistic analysis of the equities that support the express language included in § 503(b)(3)(D) by Congress.

**D. § 503 Explicitly Makes Available Other Provisions for Creditors to use in pursuance of an Administrative Expense Priority in a chapter 7.**

The precept that the specific governs the general has more force in light of the provisions being included within a comprehensive statutory scheme. *See RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 132 (2012) (more effect is given to specific statutes over general when they are both located within a comprehensive statutory scheme). Moreover, within Section § 503(b)(3), other provisions could fall within the same scope of § 503(b)(3)(D) but are specifically left available by Congress to be used in a chapter 7. *See e.g.,* § 503(b)(3)(B) (allowing a creditor who received prior court approval to recoup expenses for finding concealed property which in turn benefitted the estate); See also § 503(b)(4); *See also* § 503(b)(3)(C); *See also Lebron v. Mechem.*, 27 F.3d 937, 945 (3d Cir. 1994) ("There are provisions other than subsection (b)(3)(D) that authorized repayment of expense incurred in connection with a chapter 7 proceeding, and we believe that post-conversion expenses were intended to be reimbursable under those provisions or not at all.").

Moreover, if Congress had intended § 503(b)(3)(D) to apply in other chapters beyond 9 and 11, this would have the effect of improperly reducing the prior court approval requirement in § 503(b)(3)(B) to insignificance when the facts allow for either provision to be used in the alternative. *See Cf. TRW Inc. v. Andrews,* 534 U.S. at 31 (no word or phrase in a statute should be rendered without meaning).

Thus, this Court should also reverse the Thirteenth Circuit's holding in order to give each specific provision within § 503 its full meaning in accordance with the express language passed by Congress.

## CONCLUSION

Pursuant to the express will of Congress as evidenced by the language of the Bankruptcy Code, this Court should reverse the Thirteenth Circuit on both issues. The traditional majority interpretations should thereby be affirmatively reinforced. For, the recent trend of minority courts that have held contrarily in essence have done so based upon implicit favoritism for certain policy views. These courts attempt but ultimately fail to cloak their support for a policy change in far-fetched statutory arguments that are without basis within the Bankruptcy Code passed by Congress. If Congress ultimately decides to amend the Bankruptcy Code is when these policy changes may take place. Until then, this Court should reaffirm the correct interpretations.